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Case Number: 21STCV31553 Hearing Date: September 22, 2026 Dept: 729

Superior Court of California

County of Los Angeles

DEPARTMENT

729

TENTATIVE RULING

YI-CHEN LIU,

vs.

BB GROUP CO.,

LTD., et al.

Case No.: 21STCV31553

Hearing

Date: September 22, 2026

Plaintiff Yi-Chen Liu's motion to

enforce the Settlement Agreement against Defendant Chien-Chen Liu is denied. Plaintiff's request for attorneys' fees and costs is also denied.

Defendant Chien-Chen Liu's motion to

enforce the Settlement Agreement against Plaintiff Yi-Chen Liu is granted.

Defendant's counsel requests

that this Court set a schedule for a noticed fee application. The Court directs Defendant to reserve a date on this Court's Court Reservation System and to file a motion in support of the fees requested.

Plaintiff Yi-Chen

Liu aka George Liu ("Yi-Chen" or "George") ("Plaintiff") moves for an order enforcing the September 19, 2025 Settlement Agreement and Mutual Release ("Settlement Agreement") against Defendant Chien-Chen Liu aka Jack Liu ("Chien-Chen" or "Jack") ("Defendant"), as well as attorney's fees, costs pursuant to the terms of the Settlement Amount. (Notice of Motion George, pgs. 1-2; C.C.P. §664.6.)

Defendant moves for

an order enforcing the Settlement Agreement against Plaintiff on the grounds that (i) the Parties personally executed and notarized a written Settlement Agreement resolving this Action; (ii) the Parties expressly requested in Paragraph 8.1 that this Court retain jurisdiction under section 664.6 to enforce the Settlement Agreement until all of its terms have been fully performed, and this Action has not been dismissed; (iii) Jack has fully satisfied the sole condition precedent to George's obligations under Paragraph 7, having wired the

entire Settlement Payment on March 13, 2026; and (iv) George has failed to perform his obligation under Paragraph 7.1 to "execute and deliver any and all documents reasonably necessary to effectuate the dissolution and/or winding up" of MeiMei Battery Co., Ltd. ("BB Shantao"), "includ[ing], but not limited to, resigning as a director and/or officer of BB SHANTAO." (Notice of Motion Jack, pgs. 2-3; C.C.P. §§664.6, 128(a)(4).)

Background

On or about

September 19, 2025, Plaintiff and Defendant entered in a Settlement Agreement for all disputes between the parties concerning all Worldwide Battery Business, which is defined in Section 1.8 of the Settlement Agreement.

Both parties filed

their respective motions to enforce the settlement agreement on August 28, 2026. On September 9, 2026, both parties

filed their oppositions to each other's motions. On September 15, 2026, both parties filed their replies.

Legal Standard

C.C.P. §664.6 states:

If parties to pending litigation stipulate, in a writing signed by the parties outside the presence of the court or orally before the court, for settlement of the case, or part thereof, the court, upon motion, may enter judgment pursuant to the terms of the settlement. If requested by the parties, the court may retain jurisdiction over the parties to enforce the settlement until performance in full of the terms of the settlement.

(C.C.P. §664.6.)

“Strong public policy in favor of the settlement of civil cases gives the trial court, which approves the settlement, the power to enforce it. In ruling on a motion to enforce settlement, it necessarily has the power to resolve factual disputes relating to the agreement.” (Osumi v. Sutton (2007) 151 Cal.App.4th 1355, 1357.) A judge hearing a section 664.6 motion “may receive evidence, determine disputed facts, and enter the terms of a settlement agreement as a judgment.” (Id. at pg. 1360; see also In re Marriage of Assemi (1994) 7 Cal.4th 896, 911.) The Court “is

empowered under section 664.6 to resolve reasonable disputes over the terms of the settlement.” (Machado v. Myers (2019) 39 Cal.App.5th 779, 797, citations omitted.)

The limit on that power is that a court may not “create the material terms of a settlement, as opposed to deciding what terms the parties themselves have previously agreed upon.” (Osumi, 151 Cal.App.4th at pg. 1360, quoting Weddington Productions, Inc. v. Flick (1998) 60 Cal.App.4th 793, 809-810.)

1. Plaintiff George's Motion to Enforce Settlement

Discussion

Plaintiff argues the Settlement Payment was due and payable on December 19, 2025, but was not paid until March 14, 2026, an 83-day delay. Plaintiff does not cite a specific section of the Settlement Agreement that states this requirement. Plaintiff does not attach a copy of the Settlement Agreement for the Court's review.

Plaintiff argues Defendant segregated the Settlement Payment in a separate account, which generated the Interest Earned amount. Plaintiff argues the Settlement Payment was due and payable to Plaintiff on December 19, 2025; thus, the entire Settlement Payment belonged to Plaintiff on December 19, 2025, and Defendant is subject to interest liability for the entire Settlement Payment, which belongs to Plaintiff and not to Defendant based on California law governing interest on delayed settlement payments.

Plaintiff's argument is unavailing. Beginning in or about October 2025, Plaintiff's counsel proposed a structure under which Jack would be named as a third-party payor. From October through late November 2025, the parties worked to establish a framework that would permit the Settlement Payment to be made through the bespoke structure George had selected. (Decl. of Liang ¶10.)

On December 16, 2025, Defendant's counsel sent Plaintiff's counsel an email confirming that framework. (Decl. of Liang ¶10, Exh. 2.) It recites, in the parties' own words, what each side had agreed to do with respect to Plaintiff's proposed payment structure: Defendant acts as a third-party payor, providing his Hong Kong ID and a bank reference letter for KYC/AML. Moreover, George completes the third-party payor form for Jack to sign and has to share all policy details before funds are wired. In exchange, George would provide Jack with a notarized side letter, would expand Jack's tax indemnity in the Settlement Agreement, and would sign and notarize the BB Shantou resolution (requiring George to resign as a Director). (Decl. of Liang ¶10, Exh. 2.) The same email asked George's counsel whether, "given the lateness of getting all of this set up," it was acceptable for the payment to "slip[] a week or so from Dec[ember] 19 to Dec[ember] 26." (Decl. of Liang ¶10, Exh.

2.) George's counsel did not object, did not invoke the December 19 deadline, and did not reserve any claim to interest.

Jack performed each of the accommodations George requested. It is also undisputed that Jack was ready, willing, and able to wire the full Settlement Payment on or before December 19, 2025. (See 8/28/26 Decl. of Liang ¶10, Exh. 2; 9/9/26 Opp. Decl. of Liang ¶¶8-10, Exh. 8.)

It was not until February 13, 2026, that George's counsel wrote: "Enoch, the [redacted] account is ready to receive the payment. Attached please find the payment instructions [redacted]." (9/9/26 Opp. Decl. of Liang ¶7, Exh. 5).

The Settlement Payment could not have been made by Jack prior to this date because George's designated recipient could not have received it.

George accepted the Settlement Payment without objection, without condition, and without any reservation of rights. George did not declare a default. George did not send a notice of breach. George did not invoke Paragraph 2.1's deadline.

On or about May 11, 2026, more than two months after receiving the funds, George first raised the issue of interest on the Settlement Payment. (9/9/26 Opp. Decl. of Liang ¶10, Exh. 8.) This was in connection with Jack's request that George submit a clean and unqualified letter of resignation. (9/9/26 Opp. Decl. of Liang ¶10, Exh. 8.)

Nevertheless, George joined Jack in a stipulation filed with this Court reporting that "the initial substantial settlement payment has already been made by Jack Liu to an account directed by George Liu," and on the strength of that report jointly requested and obtained a 120-day continuance of the then-pending motion to enforce hearing. Again, the stipulation says nothing about interest, nothing about a breach, and nothing about any reservation of rights.

Under these facts, Plaintiff

cannot demonstrate that Defendant breached the Settlement Agreement. Further, Civil Code §3287(a) provides that the interest sought in the instant motion cannot be recovered when the “the debtor is prevented by law, or by the act of the creditor from paying the debt.” (Civ. Code §3287(a).) Here, Plaintiff’s designated account was not

ready to receive funds until February 13, 2026.

(9/9/26 Opp. Decl. of Liang ¶7, Exh. 5.)

Plaintiff did not deliver his executed and notarized documents necessary

for Defendant to make the Settlement Payment until March 3, 2026. (9/9/26 Opp. Decl. of Liang ¶8, Ex. 6.) Defendant wired the money ten days after the

last of those acts.

Further, Civil Code §1511

provides that “[t]he want of performance of an obligation, or of an offer of performance, in whole or in part, or any delay therein, is excused . . .

[w]hen such performance or offer is prevented or delayed by the act of the creditor, or by the operation of law, even though there may have been a stipulation that this shall not be an excuse[.]” (Civ. Code §1511, emphasis added.) The statute excuses the delay itself, not merely the ultimate non-performance.

Civil Code §1512 answers Plaintiff’s

disgorgement theory directly: “If the performance of an obligation be prevented by the creditor, the debtor is entitled to all the benefits which he would have obtained if it had been performed by both parties.” (Civ. Code §1512, emphasis added.)

Had Plaintiff performed by

designating an ordinary bank account capable of receiving a wire or by delivering his own documents on time, Defendant would have paid on December 19,

2025. Section 1512 places Defendant in

the position he would have occupied but for Plaintiff’s prevention of Defendant’s performance. Section 1512 therefore reinforces the prevention rule of §§3287(a)

and 1511: because Plaintiff’s own acts prevented Defendant from paying on December 19, 2025, Plaintiff cannot now convert the delay he caused into a

monetary claim against Defendant. Two

additional maxims of jurisprudence point the same way. “No one can take advantage of their own wrong.” (Civ.

Code §3517.) And “[he] who takes the

benefit must bear the burden.” (Civ.

Code §3521.) Plaintiff sought the

benefit of a bespoke payment structure designed for his own purposes. The burden of that structure was the time it took to build.

Tax Indemnity Addendum and the associated negotiations also did not cause the delay asserted in the instant motion. Between December 19, 2025, and February 13, 2026, the payment could not have been made regardless of the indemnity, because Plaintiff's designated account was not ready to receive it. The tax indemnity negotiation ran in parallel with Plaintiff's own preparations and concluded at essentially the same time. Indeed, Plaintiff's own counsel did not confirm that the was even ready to receive funds until February 13, 2026—nearly two months after the December 19, 2025, deadline Plaintiff's motion invokes. (9/9/26 Opp. Decl. of Liang ¶17, Exh. 5.)

Further, Plaintiff did not execute and notarize the Designation of Settlement Payment letter until March 3, 2026. (9/9/26 Opp. Decl. of Liang ¶18, Exh. 6.) Defendant paid by March 13, 2026. (9/9/26 Opp. Decl. of Liang ¶19.)

Accordingly, Plaintiff's motion is denied.

Plaintiff's request for attorneys' fees and costs is denied.

2. Defendant Jack's Motion to Enforce Settlement

Evidentiary Objections

Defendant's 9/15/26 evidentiary objection to the Declaration of Franky C. Chan ("Chan") filed on 9/9/26 are sustained as to Nos. 1, 2, 3, 4, 5, and 7, and overruled as to No. 6.

Defendant's 9/15/26 evidentiary objections to the Declaration of Yi-Chen Liu ("George") filed on 9/10/26 are sustained as to Nos. 8 and 9.

Discussion

Defendant attaches a copy of the Settlement Agreement for the Court's review, where it states in Section 2.1 that "[i]n consideration for the releases, covenants, and warranties contained herein, Jack shall pay to George the total sum of [redacted] (the "Settlement Payment"). The Settlement Payment shall be made by wire transfer of immediately available funds to an account anywhere in the world, designated in writing by George, within ninety (90) days of the Effective Date." (Decl. of Liang ¶6, Exh. 1 at §2.1)

Defendant argues that Plaintiff did not designate an ordinary bank account, and that beginning in or about October 2025, Plaintiff's counsel proposed a bespoke structure under which Defendant would be named as a third-party payor. (Decl. of Liang ¶9.) Defendant's counsel declares,

From October through late November 2025, the parties worked to establish a framework that would permit Jack to make the Settlement Payment through that bespoke structure proposed by George. On or about December 16, 2025, I sent counsel for George an email confirming the framework the parties had reached. Attached hereto as Exhibit 2 is a true and correct copy of that email. As reflected there, Jack agreed to furnish his Hong Kong identification for know-your-customer purposes, to obtain a bank reference letter confirming that his personal account held several millions of dollars over the Settlement Payment amount, and to sign a third-party-payor form; in exchange, George would provide a notarized side letter directing the payment and an amendment to the Settlement Agreement expanding George's tax indemnity to cover the consequences of the requested structure. The same email records George's parallel commitment that he would cooperate fully and quickly in signing the BB Shantao resolution (confirming his resignation as a director of BB Shantao) before a notary.

(Decl. of Liang ¶10.)

Section 7 of the Settlement Agreement is titled "FURTHER ASSURANCES AND COOPERATION." Paragraph 7.1 provides in full:

George agrees to cooperate in good faith and to execute and deliver any and all documents reasonably necessary to effectuate the dissolution and/or winding up of

MeiMei Battery Co., Ltd., also known as BB SHANTAO. This shall include, but not be limited to, resigning as a director and/or officer of BB SHANTAO. George's obligations in Paragraph 7 are expressly conditioned upon Jack's making the Settlement Payment as outlined in Paragraph 2

(Decl. of Liang ¶6, Exh. 1 at ¶7.1, emphasis added.)

Paragraph 7.3 adds a freestanding covenant: "Each Party agrees to execute such further documents and to take such further actions as may be reasonably necessary or appropriate to carry out the intent and purpose of this Agreement. Each party shall act in good faith and not do anything that would hinder the performance of this Agreement by the other party." (Decl. of Liang ¶6, Exh. 1 at ¶7.3, emphasis added.)

Paragraph 2.1 of the Settlement Agreement required Jack to pay George by wire transfer "to an account anywhere in the world, designated in writing by George." (Decl. of Liang ¶6, Exh. 1 at ¶2.1.) Beginning in October 2025, George's counsel proposed a structure under which Jack would be named a third-party payor. (Decl. of Liang ¶9.) Defendant Jack's counsel provided evidence that the payment restructure was negotiated via email by counsel for several months, including tax indemnity. (Decl. of Liang ¶¶10-12, Exh. 2.)

On March 3, Plaintiff George delivered the executed and notarized Designation of Settlement Payment and Tax Indemnity Addendum; and by March 13, Defendant Jack had wired the Settlement Payment in accordance with George's written designation. (Decl. of Liang ¶¶11-13.) Therefore, the condition precedent in Paragraph 7.1 was satisfied in full. Defendant Jack's performance is not in dispute: the Parties told this Court on May 19, 2026, that "the initial substantial settlement payment has already been made by Jack Liu to an account directed by George Liu." (5/20/26 Joint Stipulation, pg. 1.) In that same Joint Stipulation, the Parties represented that they were "currently finalizing details relating to the resignation of George Liu from Guangdong MeiMei in the People's Republic of China, also known as BB Shantao," and jointly requested that this Court continue the June 11, 2026, hearing on the instant motion by 120 days on the strength of that reported progress, which this Court granted.

On June 3, 2026, BB Shantao

received Plaintiff George's May 29, 2026 "Resignation and Statement." (Decl. of Liang ¶16, Exh. 4.) Paragraph 1 of George's Statement says that

George "resign[s] from [his] position of the director of [BB Shantao], effective immediately." (Decl. of Liang

¶16, Exh. 4 at ¶1.) However, Paragraphs

2 and 3 state the following:

During my

tenure as a board director of [BB Shantao], I never attended or participated in any board meetings of [BB Shantao] in any form, nor did I sign any documents of the board of directors or of the company in any form (including but not limited to loans, external guarantees, financial reports, tax filings, etc.).

If any

documents of the company purportedly contain my signatures, such signatures were not handwritten personally by me. I have no knowledge of the contents of such documents, and such documents shall have no legal force and effect on me.

Any liabilities, obligations, or consequences arising from such documents shall bear no relevance to me.

(Decl. of Liang ¶16, Exh. 4

at ¶1.)

BB Shantao is a Chinese company, and under Chinese law, winding up the company means getting it deregistered in China. The Court takes judicial notice of the Declaration of Zhao Yichao ("Zhao") pursuant to Evidence Code §454(b) for the law of an organization of nations, a foreign nation, or a public entity in a foreign nation and the advice of persons learned in the subject matter, provided in writing. (Evid. Code §454(b).) Zhao declares that application for deregistration proceeds before the competent Administration for Market Regulation ("AMR"), the tax authority, and the Company's banks, and each clearance is a precondition to the next step.

(Decl. of Zhao ¶9.) Those

authorities do not investigate the company's affairs; but they read the documents in the company's file. (Decl. of Zhao

¶9.) Every stage of the wind-up is

proved out of the company's own paperwork: its board resolutions, its shareholder resolutions, its financial reports, its loan and guarantee

documents, and its tax filings. (Decl.

of Zhao ¶9.) Paragraphs 2 and 3 of George's

Statement indicate to authorities that the company's paperwork cannot be trusted, which carries at least three concrete consequences under Chinese law.

First, a signed statement by

a registered director that company documents bear a signature that is not his

is a potential basis for a falsified-registration investigation. (Decl. of Zhao ¶22.) Such an investigation runs three to six months, and while it is open the registration authority will not process

related filings, so the deregistration process simply stops. (Decl. of Zhao ¶22.) The persons investigated

would not be George; they

would be whoever prepared and filed the documents Paragraph 3 disclaims, which

is to say BB Shantao's other current or former directors and officers. (Decl. of Zhao ¶ 23.) Each of these current/former directors and

officers are a Jack Releasee under the Settlement Agreement (as are Jack's

"immediate family"). (See Decl.

of Liang, Exh. 1, pgs. 6-7, pg. 2 at ¶1.7 "Releasee Affiliates".)

Second, Paragraph 2 of

Plaintiff George's May 29, 2026 "Resignation and Statement" specifically

disclaims the company's tax filings and financial reports. However, these are

the very documents on which tax clearance and the statutorily required

liquidation report depend. (Decl. of Zhao

¶24.)

Third, Paragraph 2's

assertion that George never participated in any board meeting gives a creditor

a basis to argue that the resolutions authorizing the company's guarantees were

never validly adopted, and disputes of that kind must be resolved before the

company can be closed. (Decl. of Zhao ¶25.)

A director's resignation

letter filed with the Chinese authorities states who is resigning, that he

resigns, and when. Nothing more is asked for, and nothing more is wanted. (Decl. of Zhao ¶27.) Paragraphs 2-3 of George's May 29, 2026

"Resignation and Statement" undermines the Settlement Agreement after George

received his substantial pay-out. Under

these facts, George's Statement does not advance the winding up of BB Shantao,

and his actions were not undertaken in good faith in violation of Settlement

Agreement Paragraph 7.3.

This Court finds that (1)

Defendant Jack has fully satisfied the sole condition precedent to George's obligation; (2) George's Statement is non-conforming; (3) George is directed to execute and deliver, within ten (10) days, an unqualified notarized letter of resignation from the BB Shantao board of directors containing no additional statement, reservation, disclaimer, or accusation; and (4) directs that George withdraw his Statement.

Accordingly, Defendant's motion is granted.

Attorney's Fees

The Agreement expressly

provides that "[i]f any legal action or proceeding (including a motion in the Court retaining jurisdiction . . .) is brought to enforce or interpret the terms of this Agreement, the prevailing party . . . shall be entitled to recover its reasonable attorneys' fees and costs incurred," and confirms that the non-breaching party "shall be entitled to all remedies available at law or in equity (including specific performance of obligations)." (Decl. of Liang, Exh. 1 at ¶9.11.) Defendant is therefore entitled to attorney's fees and costs associated with bringing this motion. Paragraph 6.1 provides an independent basis: George must indemnify Jack against all "Losses," expressly including "reasonable attorneys' fees and court costs," arising from "any breach of Paragraphs 5, 7, or 8." This Motion arises from a breach of Paragraph 7. (Decl. of Liang, Exh. 1 at ¶6.1.)

Defendant's counsel requests

that this Court set a schedule for a noticed fee application. (Decl. of Liang ¶21.) The Court directs Defendant to reserve a date

on this Court's Court Reservation System and to file a motion in support of the fees requested.

Conclusion

Plaintiff's motion to enforce

the Settlement Agreement is denied. Plaintiff's request for attorneys' fees and costs is denied.

Defendant's motion to enforce
the Settlement Agreement is granted.

Defendant's counsel requests
that this Court set a schedule for a noticed fee application. The Court directs Defendant to reserve a date
on this Court's Court Reservation System and to file a motion in support of the
fees requested.

Moving Party to give notice.

Dated: September
_____, 2026

Hon. Daniel M. Crowley

Judge of the Superior
Court